Qualification Programme Examination Panelists' Report

Module 12 – Business Finance
(June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was quite satisfactory compared to the December 2024 session. Nevertheless, many candidates demonstrated insufficient technical knowledge and struggled with application of strategic options models, financial reconstruction models, insolvency concepts, and Free Cash Flow to the Firm's approach ("FCFF"). Many candidates were unable to apply the appropriate models to address the case problems. Specifically, candidates demonstrated weaknesses in the technical aspects and computation of FCFF, which is one of the key topics of business finance covered in the module. Another major concern for this cohort was a lack of sufficient analytical skills. Candidates should apply technical and computational knowledge to solve the problems specific to the case background, rather than merely copying technical terms without detailed explanation or integrating case information into their answers. Merely copying information from the learning pack and case information should be avoided.

Specific Comments

Question 1 – 15 marks

This question required candidates to act as the financial controller of the Company and write a memo to the Board of Directors to consider the strategic options available to the Company regarding its struggling FFG business. Candidates were expected to evaluate each strategy and recommend a suitable strategy or strategies to the Company.

Performance on this question was satisfactory.

Most candidates understand the question and were able to identify the four strategic options, including market penetration, product development, market development and diversification, based on Ansoff's Product Market Matrix. However, most candidates failed to provide in-depth evaluation for each strategic option using the case information provided. Many candidates were unable to recommend a suitable strategic option based on their evaluation. Nonetheless, most candidates were able to present their answers in the correct memo format and structure, which earned them communication marks.

Candidates are advised to develop a clear understanding of the objectives and applications of each strategic model and learn how to apply them to different business situations and issues based on the case information.

<u>Question 2 – 10 marks</u>

This question required candidates to recommend and evaluate three appropriate financial reconstruction methods that the Company can consider adopting for the FFG retail business in Hong Kong. Candidates were also required to recommend the most suitable method for the Company and its stakeholders.

Performance on this question was satisfactory.

Most candidates understood the requirement of the question but they were only able to identify and evaluate one or two correct financial reconstruction methods. Some candidates mentioned irrelevant methods such as spin-off, demerger, or setting up a separate legal entity in their answers, reflecting a lack of understanding of the models and weakness in application of technical knowledge to the case situation. Some candidates simply copied definitions and content from the learning pack without applying them to the case. Furthermore, some candidates did not recommend the most suitable method to address the case situation, indicating either carelessness or lack of confidence in making a final recommendation based on their evaluation.

Given the current economic and business situation, financial reconstruction has become one of the most important topics that accountants must understand and address in professional practice. We recommend that all candidates study each financial reconstruction method diligently and in detail, so they are well-prepared to apply them effectively in various business situations.

<u>Question 3(a) – 6 marks</u>

This question required candidates to evaluate the financial situation of the Company's business.

Performance on the question was less than satisfactory.

Most candidates had difficulty understanding the requirements of the question and lacked sufficient basic accounting and financial knowledge to answer the question professionally and correctly. Only a few candidates were able to identify insolvency issues in the company's business. Some candidates just mentioned debt-equity or liquidity ratios without further elaboration or application to the company's financial situation. Some candidates simply copied case information into their answer without providing further analysis or explanation.

Candidates need to understand how to evaluate a company's financial situation by applying basic accounting and financial knowledges, including relevant calculations in areas such as profitability, liquidity, gearing, capital losses and going concern issues, in order to properly address insolvent concerns in a company's business.

Question 3(b) – 6 marks

This question required candidates to calculate possible claims in case of closing down of the Company's business.

Performance on this question was satisfactory.

Most candidates understood the question requirement and were able to identify items eligible for claims. However, many candidates had difficulty distinguishing between priority claims and ordinary claims, and failed to correctly provide the order of priority for settling each item. Most candidates did not address the concept of proportionate entitlement among unsecured creditors, indicating a lack of knowledge and application in this area.

Due to the existing economic and business situation, candidates may face similar situations in their professional practice, so candidates should be familiar with this topic and understand how to do the correct calculations.

Question 4 – 13 marks

This question required candidates to calculate, using the most appropriate valuation method, the enterprise value and the implied value of equity of the Company, and recommend the maximum sales proceeds from reconstruction to acquire the Company.

Performance on this question was less than satisfactory.

Many candidates did not attempt this question or merely copied simple definitions of valuation methods without applying the case information. Some candidates were able to identify FCFF for valuation, but they were unable to perform the correct calculations, indicating a lack of practice in both calculation and application. In addition, many candidates could not correctly calculate cash flows, discount rate, changes in working capital, and tax expenses using correct tax rate, and they also failed to presented their work in a clear and professional table format as demonstrated in the learning pack.

Candidates need to understand both the principles and practical application of the FCFF method and apply this knowledge to solve business problems in the examination.

(II) Section B – Essay/Short Questions

General Comments

Overall performance in this section was above average, and some questions were answered well. However, it was still observed that many candidates struggled to properly understand the questions and failed to provide relevant discussion. Instead, they gave generic responses that did not aligned with the requirements. Additionally, candidates demonstrated weaknesses in interpreting their calculated answers in relation to the given case.

Specific Comments

Question 5(a) – 6 marks

This question required candidates to explain how data harvesting works and how the Company can leverage it for their new business opportunity.

The performance on this question was average.

Many candidates generally demonstrated a good understanding of technical knowledge. However, some candidates focused on big data without elaborating on data harvesting, which was necessary to achieve higher marks. We also observed that quite a few candidates provided irrelevant discussion.

Candidates are advised to focus their discussion on relevant topics and are strongly encouraged to utilise the learning pack, including the glossary, to help them identify pertinent sections.

Question 5(b) – 4 marks

This question required candidates to describe the responsibilities of the treasury department during a private placement.

The performance on this question was poor.

Most candidate did not properly address the question’s requirements. Instead of focusing on private placement, many candidates provided general responsibilities of the treasury function internally, such as cash management, hedging, and fund deployment.

Candidates are advised to read the question carefully and provide an appropriate response. It is recommended that they make use of the learning pack, including the glossary, to help identify and refer to the relevant sections.

Question 5(c) – 7 marks

This question required candidates to explain the role of the treasury department in managing investor relationships, including the different roles and focus.

The performance on this question was average.

Many Candidates were only able to identify who is responsible for structure deals and struggled to elaborate on the specific role of the treasury function in deal structuring, which was necessary for achieving higher marks. Additionally, many candidates misinterpreted the function of investor relations department or incorrectly assumed that treasury function oversees investor relations function.

Candidates should become familiar with the roles and responsibilities of both the treasury and investor relations functions.

Question 6(a) – 3 marks

This question required candidates to calculate the electricity consumption per square foot and describe the trend of such consumption.

The performance on this question was satisfactory.

Many candidates calculated the answer correctly. However, some candidates were unable to relate the trend in the increasing size of the studio and the use of LED to achieving better performance.

To achieve higher marks, candidates need to enhance their ability to interpret their calculated answers in relation to the given case.

Question 6(b) – 4 marks

This question required candidates to calculate total carbon emissions and the cost for the Company to achieve carbon neutrality by purchasing carbon credits to offset carbon emissions.

The performance on this question was average.

Many candidates calculated the figures correctly, although some candidates missed the proportion of renewable energy used.

Question 6(c) – 4 marks

This question required candidates to advise on four relevant Key Performance Indicators ("KPI") in ESG report under the Hong Kong Stock Exchange rules.

The performance on this question was average.

Most candidates demonstrated a basic understanding of the topic and were able to provide measurable KPIs. However, some candidates provided qualitative responses as KPIs, demonstrating a lack of understanding of KPIs for ESG reports. A few candidates copied information from reference materials without applying it to the case, resulting in lost marks.

Question 6(d) – 7 marks

This question required candidates to advise on the fundamental principles of the HKICPA Code of Ethics for Professional Accountants that would be relevant to the case.

The performance on this question was satisfactory.

Most candidates correctly identified the relevant principles and provided explanation with reference to case background. However, some candidates only listed the definitions of the principles without applying them properly to the case. Additionally, some candidates were unable to elaborate on how the principles were not met according to the case in order to achieve higher marks.

Candidates are suggested to enhance their skills in formulating responses that are directly relevant to the case.

Question 7(a) – 8 marks

This question required candidates to calculate the Cash Conversation Cycle with given business model.

The performance on this question was average.

Most candidates completed the calculations correctly. However, many candidates were unable to achieve higher marks because they failed to explain the impact of changing business models on the Cash Conversion Cycle. Only a few candidates addressed how variations in the business model affected the cycle days, while some simply restating figures without providing any analysis.

Once again, candidates should enhance their ability to interpret the answer calculated.

Question 7(b)(i) – 4 marks

This question required candidates to calculate the maximum closing inventory balance to meet the target given in the case.

The performance on this question varied.

While many candidates provided correct answers and achieved high marks, it was also observed that a significant number of candidates were unable to complete the required calculations.

Question 7(b)(ii) – 3 marks

This question required candidates to conduct sensitivity analysis by conditions given in the case.

The performance on this question was unsatisfactory.

Some candidates were able to provide corrected answers. However, many candidates misinterpreted the question, provided generic discussion without calculations to justify their answer, or provided incorrect calculations.

(III) Conclusion and Recommendation

Candidates are expected to concentrate their discussion on relevant topics, and are strongly encouraged to utilise their reference materials, such as the learning pack including the glossary, to identify appropriate sections when answering the exam questions. Candidates should further develop their capacity to interpret calculated results in the context of the given case. It is also recommended that candidates strengthen their skills in providing specific answers that directly address the question requirements.